

HDFC Life Insurance Company Ltd (HDFCLIFE)

Sector: Financials | Financial Intelligence tearsheet | Latest FY24 (2024-03)

1. Core Performance Ratios (Latest Year)

Metric	Value	Benchmark / Status
Return on Equity (ROE)	10.73%	ROE > 15% is healthy
Return on Capital (ROCE)	11.81%	Relative sector-adjusted benchmark
Net Profit Margin (NPM)	1.55%	Core net earnings efficiency
Debt to Equity (D/E)	0.06	Financial leverage ratio
Interest Coverage Ratio (ICR)	192.29	Debt service capacity cushion
Asset Turnover	0.34	Asset utilization intensity

2. Time-Series Income Statement (P&L; Trend)

Year	Revenue / Sales (Cr)	Net Profit (Cr)	EPS (■)
2024-03	■101,482.0	■1,574.0	■7.00
2023-03	■70,207.0	■1,368.0	■6.00
2022-03	■67,126.0	■1,327.0	■6.00
2021-03	■71,528.0	■1,361.0	■7.00
2020-03	■29,380.0	■1,297.0	■6.00
2019-03	■38,855.0	■1,278.0	■6.00

3. Balance Sheet & Asset Structure

Year	Fixed Assets (Cr)	Current Assets (Cr)	Borrowings (Cr)
2024-09	■460.0	■11,272.0	■950.0
2024-03	■1,549.0	■9,982.0	■950.0
2023-03	■997.0	■8,844.0	■950.0
2022-03	■6,605.0	■7,559.0	■600.0
2021-03	■585.0	■5,493.0	■600.0
2020-03	■322.0	■4,637.0	N/A

4. Cash Flow & Capital Allocation Pattern

Year	CFO (Ops)	CFI (Invest)	CFF (Finance)
2024-03	■10,721.0	■-13,614.0	■-403.0
2023-03	■6,883.0	■-10,071.0	■1,985.0
2022-03	■5,943.0	■-801.0	■-238.0
2021-03	■9,703.0	■-8,952.0	■678.0
2020-03	■7,388.0	■-7,789.0	■38.0
2019-03	■9,868.0	■-10,182.0	■-337.0

5. Qualitative Analysis (Strengths & Risks)

■ Strengths (Pros)	■ Risk Factors (Cons)
• Conservative leverage with a healthy Debt-to-Equity of 0.06. • Robust long-term top-line growth with a 5-year Sales CAGR of 21.2%. • High-quality earnings backed by a strong cash-flow-to-profit conversion (CFO/PAT ratio of 6.81). • Excellent debt servicing capacity with an Interest Coverage Ratio of 192.3x. • Attractive dividend yield of 3.2% provides stable cash income.	• Sluggish earnings performance with a 5-year PAT CAGR of 4.3%. • Latest free cash flow is negative (■-2,893.0 Cr), requiring external capital or cash drawdowns. • Premium asset pricing with a high Price-to-Book multiple of 11.3. • Asset-heavy or inefficient operations with a low asset turnover of 0.34.